Business Management SL · Set B · Paper 2

Worked mark scheme · 90 minutes · 40 marks

Award equivalent valid methods and conclusions. Apply the indicated mark allocation to each part. Credit consistent follow-through where the subsequent reasoning remains valid.

Section A · Pierlight Prints [10]

(a) **[4]**

Calculate Pierlight's current monthly profit and margin of safety in units.

1 mark · Current contribution is CU 9 per poster.

1 mark · Profit is 1,800 × 9 − 13,500 = CU 2,700.

1 mark · Break-even output is 13,500/9 = 1,500.

1 mark · Margin of safety is 300 posters.

(b) **[2]**

Calculate the monthly sales volume at which profit would be the same with either printer.

1 mark · Equate the CU 2,700 additional fixed cost with the CU 1.50 saving per unit.

1 mark · 1,800 posters.

(c) **[4]**

Explain two reasons why management might keep the current printer even if its sales forecast exceeds this volume.

1 mark · A forecast could overstate sales.

1 mark · Monthly sales below 1,800 leave the business with the higher fixed cost and insufficient variable savings.

1 mark · Installation or staff training could interrupt production.

1 mark · Lost sales or delivery penalties could outweigh the forecast profit gain. Accept other contextual risks.

Section A · Mira Fieldwear [10]

(a) **[4]**

Construct an extract of the income statement showing cost of sales, gross profit and operating profit.

1 mark · Opening inventory plus purchases less closing inventory.

1 mark · Cost of sales is CU 60,000.

1 mark · Gross profit is CU 40,000.

1 mark · Operating profit is CU 13,000.

(b) **[3]**

Calculate the operating profit margin. Explain why an increase in this margin need not remove a shortage of cash.

1 mark · 13%.

1 mark · Credit sales can be recognised before cash is received.

1 mark · The retailer can delay receipts for 60 days while wages and suppliers still need payment.

(c) **[3]**

Explain one way Mira could reduce the cash tied up in inventory and one risk of doing so.

1 mark · Order smaller batches more frequently or align purchasing to demand.

1 mark · The lower inventory balance releases cash.

1 mark · A delay could cause stockouts and lost orders from the retailer.

Section B · Option 1 · Northbank Music [20]

(a) **[2]**

Calculate Northbank's existing operating profit per term.

1 mark · 800 × (32 − 14) − 11,400.

1 mark · CU 3,000.

(b) **[4]**

Calculate the change in term profit from the online proposal and the minimum number of online places needed to cover its extra costs if 60 in-person bookings are lost.

1 mark · Net change is 200 × 18 − 60 × 18 − 2,400.

1 mark · CU 120 increase.

1 mark · Divide (2,400 + 1,080) by 18.

1 mark · At least 194 online places.

(c) **[4]**

Explain two qualitative factors that could affect the decision.

1 mark · Some families have unreliable internet.

1 mark · Disrupted lessons may harm retention or the school's reputation.

1 mark · Others cannot travel in the evening.

1 mark · Remote delivery could expand access to customers the school currently misses.

(d) **[10]**

Evaluate whether to launch online lessons for the full term.

10 marks · The proposal offers more access but only CU 120 expected additional profit. Six fewer online places would reduce this by CU 108, and seven would turn the gain negative. Test prepaid demand, monitor transfers from in-person lessons and retain an accessible offline option. A school prioritising access might accept a modest return if it can protect quality and cover the fixed platform cost. Use best fit. Award 0 for no creditable response, 1–2 for limited assertions, 3–4 for a partially explained point with weak application, 5–6 for developed analysis using case evidence, 7–8 for supported consideration of competing arguments and a reasoned decision, and 9–10 for sustained evaluation integrating specific evidence, a material limitation and a convincing judgement. Credit a well-supported alternative.

Section B · Option 2 · Grey Heron Foods [20]

(a) **[2]**

Calculate the opening-month balance immediately after paying the full installation cost and the month-end balance.

1 mark · Immediately −CU 1,000.

1 mark · Month-end CU 2,000.

(b) **[4]**

Under the instalment plan, calculate the balances immediately after each instalment and the balance at the end of month 3.

1 mark · Month 1 after instalment CU 3,600.

1 mark · End of month 1 is CU 6,600, carried into month 2.

1 mark · Month 2 after instalment CU 1,200.

1 mark · End of month 3 is CU 7,200.

(c) **[4]**

Explain two reasons actual monthly net inflows might differ from the forecast.

1 mark · New footfall or conversion rates may differ from expected demand.

1 mark · Fewer sales reduce cash receipts.

1 mark · Ingredient prices or staffing hours may rise.

1 mark · Higher cash operating costs reduce the expected CU 3,000 surplus.

(d) **[10]**

Recommend whether Grey Heron should proceed under either offer.

10 marks · Paying immediately puts the balance CU 4,000 below the floor. Instalments preserve more early cash but still leave month 2 CU 1,800 short of the floor and cost CU 800 extra. Seek a later second instalment or a confirmed credit facility and reassess pessimistic demand. Three profitable months alone do not ensure liquidity on payment dates. Deferring is defensible if financing is uncertain. Use best fit. Award 0 for no creditable response, 1–2 for limited assertions, 3–4 for a partially explained point with weak application, 5–6 for developed analysis using case evidence, 7–8 for supported consideration of competing arguments and a reasoned decision, and 9–10 for sustained evaluation integrating specific evidence, a material limitation and a convincing judgement. Credit a well-supported alternative.

End of mark scheme · 40 marks